March Labour Force: calm before the storm

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Employment: +17.9k (from +49.7k). Unemployment Rate: 4.3% (from 4.3%). Participation Rate: 66.8% (from 66.9%).

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The March Labour Force Survey (LFS) was in the field from March 1st to 14th. Being the first official piece of ‘hard’ economic data since the onset of the Middle East conflict, it had the potential to garner significant interest. As we cautioned in our preview though, it is too early to expect flow-on effects from the Middle East shock or from recent interest rate rises to be appearing in labour market measures. Instead, today’s data provides us with a picture of the starting point for the labour market before these forces impact.

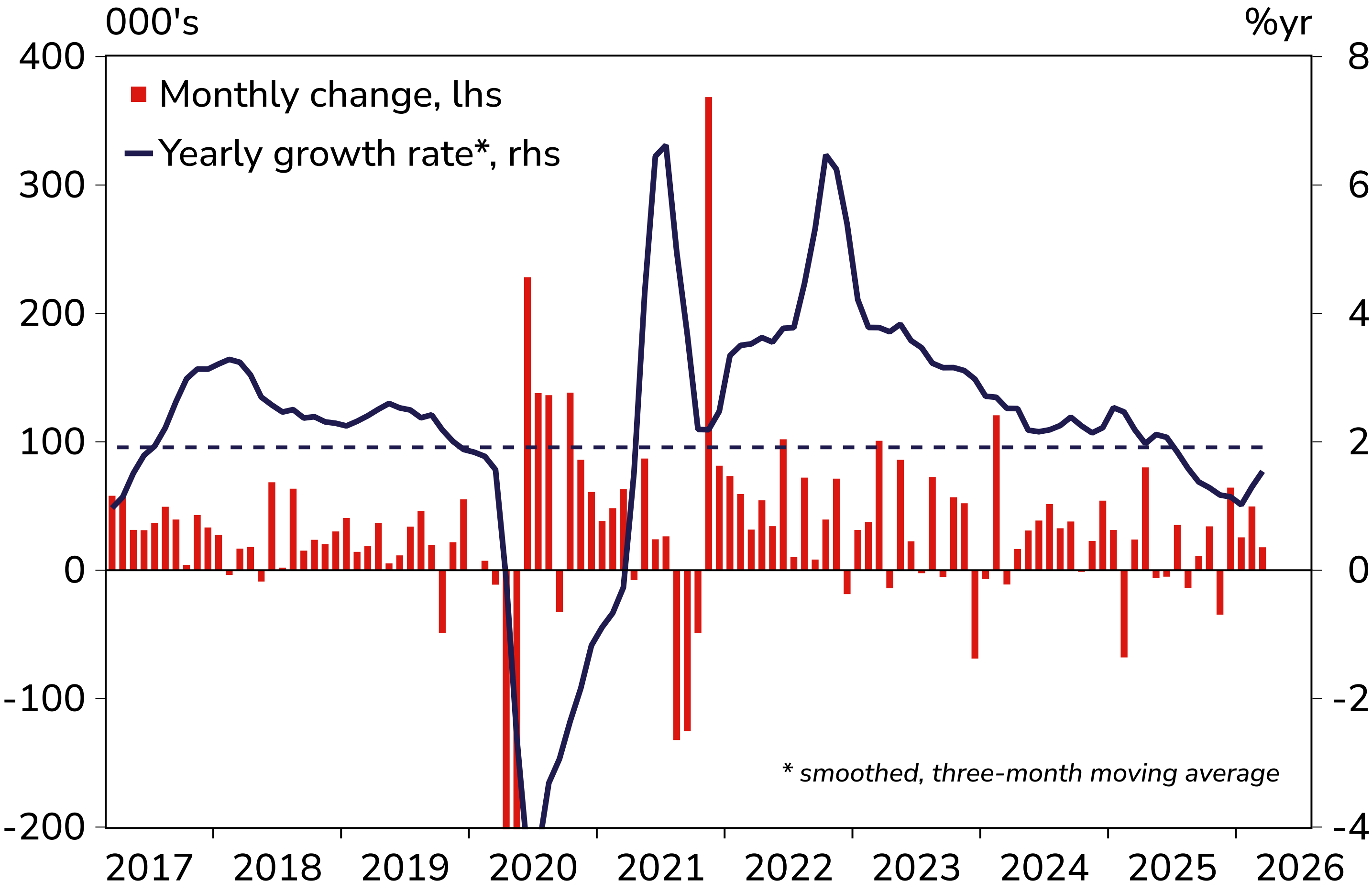
In the event, the data was broadly in line with expectations. Employment rose by +17.9k in March, slightly below the consensus estimate (+20k) and Westpac’s forecast (+25k). Volatility in the full-time/part-time split remains par for the course – this time, the gain was centred on full-time employment (+52.5k) while part-time employment declined (–34.6k).

As we predicted, the trend for employment growth was turning more positive before the onset of the Middle East conflict, with annual growth (on a three-month average basis) lifting further from a trough of 1.0%yr in January, up to 1.5%yr in March. The lift in employment growth stems from last year’s recovery in domestic demand, which was starting to see job gains broaden across consumer- and business-facing industries.

In line with our forecast, the participation rate eased back from 66.9% to 66.8% in the month, reflecting natural month-to-month volatility in the data. While this did see the unemployment rate pare back at the margin (from 4.283% to 4.255%), it held steady at 4.3% to one decimal place.

This does challenge the RBA’s assessment that “the labour market has tightened a little recently” – it now looks much clearer that lower unemployment rates around the turn of the year were a result of temporarily weaker participation, not a sustained re-tightening.

Employment growth was moving past its trough



Source: ABS, Macrobond, Westpac Economics

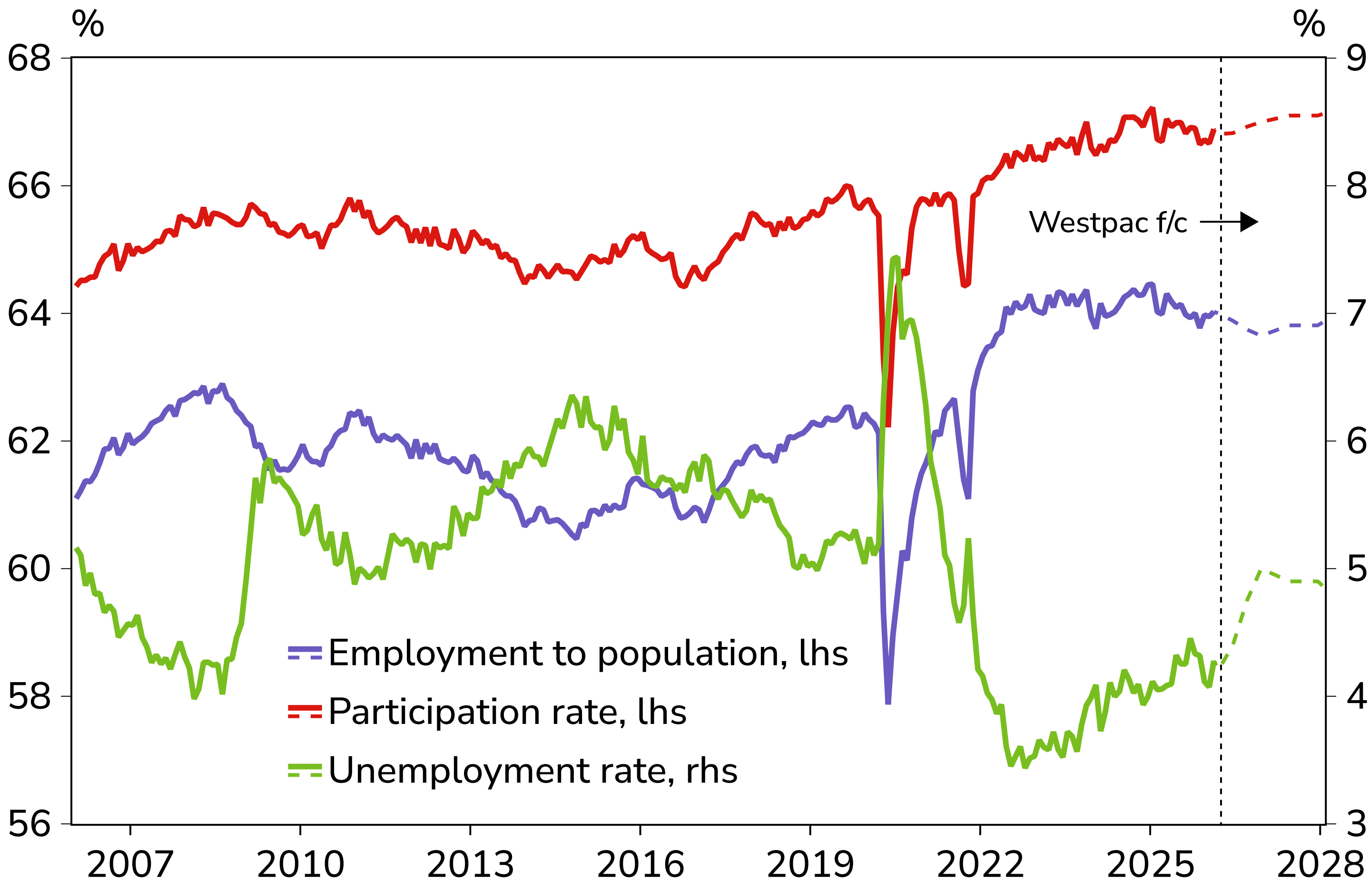
While the March LFS painted a relatively sunny benign picture of the labour market's starting point, the outlook has become gloomier as the Middle East conflict has unfolded. Our 'baseline' forecast assumes an eight-week closure of the Strait of Hormuz and a gradual recovery in shipping and transit thereafter. In such a case, trimmed mean inflation expected to peak at around 4%yr in the second half of the year, compelling the RBA to deliver three more rate hikes this year (in May, June and August) in order to lean against the rapid pass-through of higher fuel and other oil-derived product prices into other prices in Australia and prevent a sustained rise in wider inflation expectations.

There are two key questions for the labour market: *how long* will it take for the effects to show up in the labour market, and *how large* will the impact be?

Firstly, it is important to remember that the labour market sits further downstream from price shocks, even one as serious as currently. Such shocks take time to work through household spending to margins and decisions around investment and staffing. While new hiring decisions may be quickly put on hold, businesses tend to be slower to shed staff, due to the difficulty and costs involved in securing and training new staff if the decision needs to be reversed (especially when tight labour markets mean skilled workers are in relatively short supply). This means the labour market tends to be a 'lagging indicator' of the economy, especially when entering a slowdown. As such, any flow-through from higher fuel prices or global uncertainty is more likely to show up later in the year.

Our current forecasts have the bulk of the labour market softening in the second half of this year, where the unemployment rate is expected to lift to a quarter-average of 4.9% and stay around that level over 2027 as interest rate rises impact. Even this weakening is notionally more to do with slower hiring than active labour shedding, with aggregate employment growth still staying slightly positive throughout (but lagging growth in the total labour force).

Labour market expected to weaken later this year

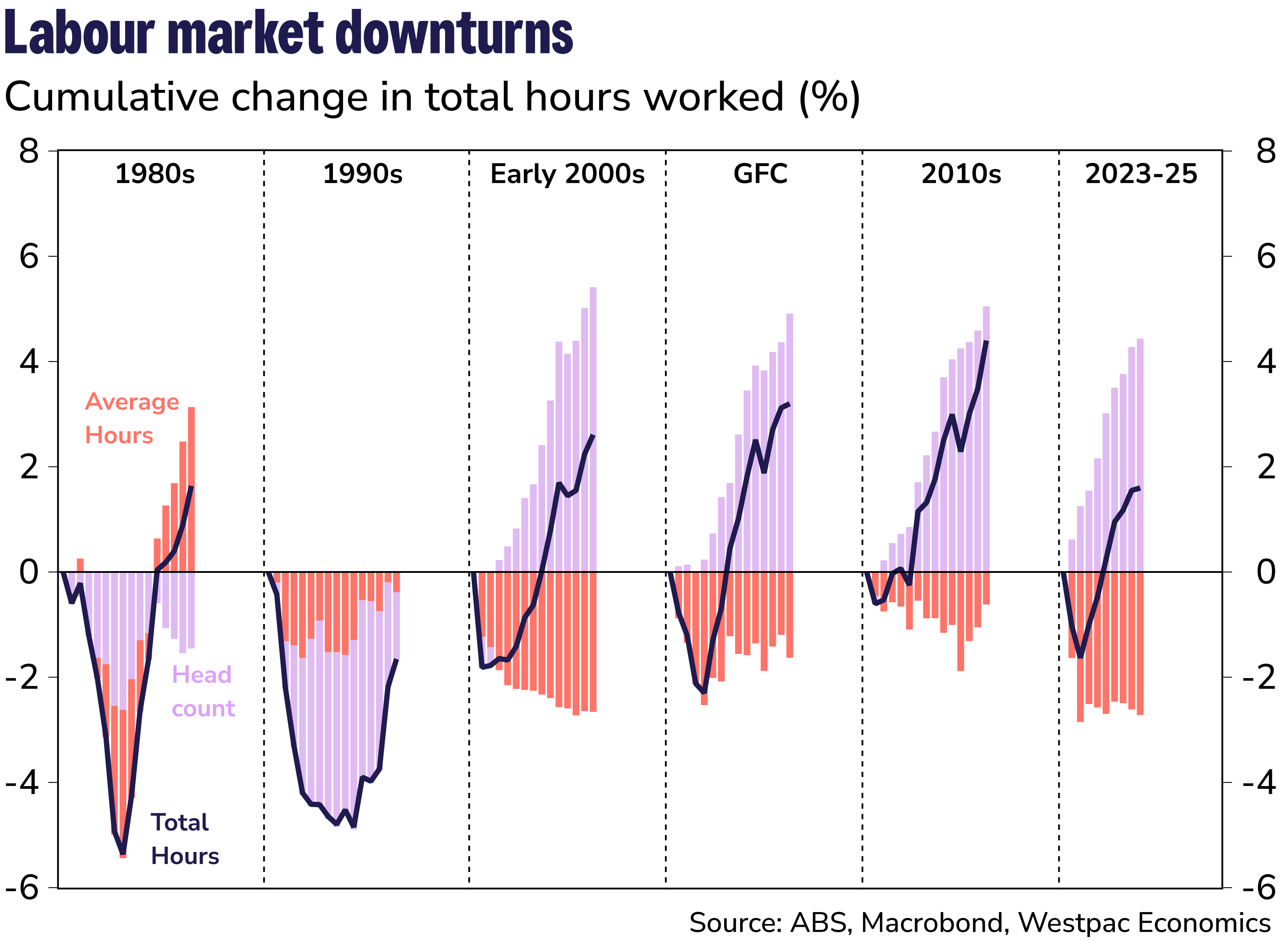


Source: ABS, Macrobond, Westpac Economics

That said, we will still monitor official data and supplementary measures of labour demand carefully for signs that labour demand is adjusting more quickly than anticipated, especially since business confidence and consumer sentiment have already collapsed to pandemic-era lows. On the latter, April's survey also reported the worst reading on job expectations since the rock-bottom of COVID-19 in August 2020 – a time when the unemployment rate had already jumped +1.7ppts and the Federal government was yet to significantly expand JobKeeper.

In terms of *how large* this adjustment could be, it is important to distinguish between hours worked and employment. Since the 2000s, employers have typically opted to reduce average hours worked rather than headcount during labour market downturns in order to retain flexibility. So, absent a severe recession, we are likely to see a larger pull-back in average hours worked together with a slowing (not decline) in employment this year. Experiences will also vary across industries – those more exposed to the fuel shock likely to show weakness more quickly, such as manufacturing, construction, transport/logistics and travel/tourism.

For the RBA, today's data (and last month's data) challenges its assessment that the labour market has "tightened a little recently". The RBA could tweak this language, but it won't miss the forest for the trees – the most immediate and pressing concern is now inflation, to which the RBA will respond by deliver three 25bps rate hikes over the next series of policy meetings. As the focus shifts towards *balancing* the risks between growth and inflation, the labour market will re-enter the forefront of the policy debate.



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